COURSE

IB Diploma Programme Business management HL

Market share and segmentation

Unit 4: Marketing · 4.1 Introduction to marketing; 4.2 Marketing planning

Revision for Unit 4: Marketing: each firm works it out on its own deals.

Class **IB Business Management HL** Topic **Market share and segmentation**

THE LESSON

Setup	3 min

Round 1 — Decisions 3 min · Deals 5 min · Topic tasks 4 min

Firm decisions	**Deals**	TASK 1 **Segment revenue**	TASK 2 **High share benefits**	

Round 2 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 3 **Rank market growth**	TASK 4 **Segment next year**	**B2B deal**

Round 3 — Decisions 3 min · Deals 5 min · Topic tasks 4 min · B2B deal 3 min

Firm decisions	**Deals**	TASK 5 **Did we do well?**	TASK 6 **Cars to hit target**	**B2B deal**

Final questions	3 min

Fits a 30-minute lesson setting; longer settings add more deals.

Each step

Firm decisions	Each role makes its decision on its own page.
Deals	Each pupil trades with a classmate in another firm.
Topic task	The firm answers together. Everyone presses Agree.
B2B deal	One firm sells a lot of cars to another firm.
Final questions	Each pupil answers six questions.

Firm decisions

CEO	**Staff**	Hire staff. Each costs a salary and gives one benefit.
	Sabotage FROM ROUND 2	Hit a rival firm's cash, at a cost. A Legal Counsel blocks it.
Sales & Marketing	**Marketing**	Book one advert campaign to lift the next sales.
Finance	**Capital & Loans**	Borrow cash. The firm pays it back with interest.
	Investments FROM ROUND 2	Buy property or funds. The value can rise or fall.
Operations	**Seasonal stock**	Order the season's cars in advance.

B2B deal · Rounds 2 and 3

One firm sells a lot of 3 cars to another firm (4 in Round 3). With an odd number of firms, two firms offer to sell and the lower price wins.

Topic tasks

Each firm gets its own figures. The method is the same for every firm.

Task 1

ROUND 1

Revenue in one segment.

Dealer’s revenue from this segment?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Town’s car sales, a year	**£850,000**
First-time buyers, % of sales	**30%**
Dealer’s share of them	**20%**

METHOD

Revenue = town sales × segment % × dealer’s share

30% × £850,000 = £255,000; × 20% = £51,000

Why: The segment is worth £255,000. The dealer takes 20% of it.

Task 2

ROUND 1

A higher market share is your main marketing objective.

Which two are benefits of a high share?

PICK TWO

- ✔ **Buyers see you as the leader**
- ○ Higher profit is certain
- ○ Less need to control costs
- ✔ **More buying power with suppliers**
- ○ The market grows faster

Why: A leader buys better and is trusted, but share does not guarantee profit.

Task 3

ROUND 2

Three markets, sales last year and this year.

Order by market growth, fastest first?

PUT THESE IN ORDER, FIRST TO LAST · RIGHT ORDER

1. **2,000 to 2,300 cars**
2. **8,000 to 8,800 cars**
3. **20,000 to 21,000 cars**

Why: Growth: 15%, 10%, 5%. The most extra cars is the slowest growth.

Task 4

ROUND 2

A growing segment.

Dealer's revenue from it next year?

WORK OUT THE NUMBER, THEN PICK IT · EXAMPLE FIGURES

Town's car sales, a year	**£500,000**
First-time buyers, % of sales	**20%**
Segment grows by	**5%**
Dealer's share of segment	**10%**

METHOD

Revenue = town sales × segment % × growth × dealer's share

20% × £500,000 = £100,000; + 5% = £105,000; × 10% = £10,500

Why: Find the segment, grow it, then take the dealer's share.

Task 5

ROUND 3

Your sales rose 10% this year. The market rose 20%.

Did your firm do well, and why?

PICK A OR B AND GIVE A REASON

- ✔ **No**
- ○ Yes

Why: Your share fell: rivals took more of the growth than you.

Task 6

ROUND 3

Win a bigger share.

Extra cars needed next year to hit the target?

WORK OUT THE NUMBER · EXAMPLE FIGURES

Town sales this year	**550 cars**
The market grows by	**20%**
Dealer's sales this year	**44 cars**
Target share next year	**10%**

METHOD

Extra cars = target share × market next year − sales this year

550 + 20% = 660; 10% × 660 = 66; 66 − 44 = 22

Why: The target is a share of next year's bigger market.

Final questions

6
questions for each pupil

109
Level 3 Business questions

9
of them on market share and segmentation

The game draws 6 of the 109 Level 3 questions; these 9 are about market share and segmentation.

1 A service-plan provider targets small delivery firms whose vans each travel more than 30,000 miles a year. Which bases of segmentation are being combined?
Business size and usage rate.

2 A dealership sold 420 of the 6,000 vans sold in its regional market. What was its unit market share?
7%.

3 Owners of cars over eight years old respond strongly to fixed-price repair bundles. Which targeting rule uses the evidence most directly?
Target owners of 8+ year-old cars.

4 Research finds commuters driving 40–70 miles a day with no home charging. Which proposition fits this segment best?
A hybrid offer with charging advice.

5 A regional dealer sells 1,350 vehicles in a market of 18,000. What is its unit market share?
7.5%.

6 The Sales lead has separate evidence for one-van sole traders and 200-plus vehicle national fleets. Why question one identical proposal?
Their needs and buying power differ.

7 A dealer has identified family, taxi and delivery segments. It now advertises only to delivery firms. What has it done?
Targeted one segment of the market.

Final questions

8 5,600 vans are sold in a region in a year, and one dealer group sells 728. What is its market share?

13%.

9 A dealer's van sales rise from 300 to 345 while the regional market grows from 2,000 to 3,000. What happened to its market share?

Share fell from 15% to 11.5%: rivals won more new demand.